The solution mooted during the back channel was based on three immutable propositions: India could not accept the de-accession of Indian-administered Kashmir; Pakistan could not accept the LoC as an international border; and the Kashmiris wanted self-rule and would not submit to partition. The answer was to make the borders irrelevant, de facto reuniting the princely state of Jammu and Kashmir. Proposals were put forward to turn the LoC into a 'soft border,' grant significant autonomy to the Kashmiris living on either side of it and eventually demilitarize the former princely state. This signaled a major policy shift by Islamabad, since it denoted Pakistani recognition that India would not relinquish control over its part of Kashmir. A joint-body comprised of Indians, Pakistanis and Kashmiris would be formed to deal with issues affecting people living on both sides of the 'soft border.'[7] As is often the case, the devil was in the details and the joint body was among the most difficult issues to resolve. Pakistan argued for shared governance, with Kashmiris in the lead role, while India pushed for far less in terms of power sharing. It is unclear how far along the two sides were in terms of hammering out how this would work. Those involved in the secret negotiations claim they were close to a deal by early 2007.[8] Indian interlocutors debate this, and suggest that New Delhi did not view back channel negotiations as being as advanced as some suggest. They assert there was a vision and negotiators were filling in the blanks, but the sense was a deal was not imminent.

Some within the Indian security establishment had pushed to reach agreement because they believed that Musharraf, as head of the army as well as the country, was their best bet in terms of a Pakistani partner who could deliver on any deal made.[9] But he was forced to resign his position as Chief of Army Staff in late 2007 and by August 2008 had lost his grip on power completely. His resignation ushered in a civilian government, which led the army to re-exert control over foreign policy, a typical occurrence when civilians were in power. Absent Musharraf, the army was not predisposed toward peace in general, and this was compounded by the view that India aimed to maintain the status quo on Kashmir. The details of the back channel negotiations, which remain a matter of debate, did not come to light until after Musharraf's tenure ended. By that time the subject was moot. This contributed to the sense among many in Pakistan during and after Musharraf's reign that the country got nothing in return for its efforts against militancy.